Economy Topic 2 — Public Finance, Budget, Taxation and Fiscal Policy

Covers syllabus (click to expand)

Principles of public finance | Revenue and capital receipts | Revenue and capital expenditure | Public debt management | Subsidies rationalisation | Union Budget concepts and deficits (Fiscal, Revenue, Primary, Effective Revenue) | FRBM Act architecture | Direct and indirect tax structures | Goods and Services Tax (GST) framework | Finance Commission (Article 280) | Principles of fiscal federalism | Comptroller and Auditor General (CAG) financial accountability

Core References: NCERT Class 12 Macroeconomics (Government Budget and the Economy), Constitution of India (Part XII - Finance, Property, Contracts and Suits), Union Budget documents, and UPPCS/UKPCS/UPSC Prelims archives. **Significance:** ★★★ High — Finance Commission composition and mandates (Art. 280), 101st Constitutional Amendment (GST), deficit arithmetic, constitutional funds (Arts. 266, 267), and fiscal federalism. **Last verified:** Academic Year 2026

Note: National income accounting and economic planning are treated in **Economy Topic 1**. Money, banking systems, and RBI monetary policy are developed in **Topic 3**. Inflation indices (CPI/WPI) are detailed in **Topic 4**. This chapter focuses on budgetary arithmetic, constitutional funds, direct/indirect taxation, GST, Finance Commission awards, and fiscal federalism.

Current Affairs & Contemporary Highlights

Reference Year	Key Institutional & Fiscal Fact	Conceptual Importance & Exam Relevance
2025 (UPPCS)	Chronological succession of Finance Commission Chairmen: **11th A.M. Khusro → 12th Dr. C. Rangarajan → 13th Dr. Vijay Kelkar → 14th Dr. Y.V. Reddy → 15th N.K. Singh**.	Prevents frequent confusion between Rangarajan (12th) and Y.V. Reddy (14th).
2025 (Fiscal Policy)	GST Council initiated structured rate rationalization from multiple legacy slabs toward a simplified 3-tier structure (merit, standard, demerit).	Highlights GST's destination-based consumption framework and federal consensus mechanism under Article 279A.
2024 (UPPCS)	The Goods and Services Tax (GST) was enacted via the **101st Constitutional Amendment Act, 2016** (effective 1 July 2017).	Distinguishes the 101st Amendment (GST) from the 73rd (Panchayats), 86th (Education), and 91st (Ministry size limit).
2024 (UPPCS)	Key Constitutional Articles: Consolidated Fund & Public Account = **Article 266**; Finance Commission = **Article 280**; Financial Emergency = **Article 360**; CAG = **Article 148**.	Standard multi-article constitutional matching matrix in public administration and finance.

Reference Year	Key Institutional & Fiscal Fact	Conceptual Importance & Exam Relevance
2023 (UPPCS)	The Finance Commission consists of a Chairman and **four other members** (total 5); it submits its recommendations to the **President of India**, not to NITI Aayog.	Clarifies membership count and constitutional reporting line under Article 280 and Article 281.
15th FC Award	Recommended vertical tax devolution of **41%** of the net divisible pool to States (adjusted from the 14th FC's **42%** to account for the newly formed Union Territories of Jammu & Kashmir and Ladakh).	Core benchmark for Union-to-State statutory tax sharing.
Budget Procedure	The Annual Financial Statement is laid before Parliament by the **Finance Minister on behalf of the President of India** under **Article 112** (not on behalf of the Prime Minister).	Rigorous constitutional procedure governing executive financial presentation.
Gender Budgeting	Formally institutionalized in the Union Budget from financial year **2005–06** as a targeted gender-disaggregated expenditure statement.	Tests landmark years in budgetary social reforms.
FRBM Documents	The **Macro-Economic Framework Statement** is statutorily mandated by Section 3 of the **Fiscal Responsibility and Budget Management (FRBM) Act, 2003**.	Mandated statutory accountability document laid alongside the Annual Financial Statement.

2.1 Public Finance: Receipts, Expenditures, Debt, and Subsidies

Public finance examines how the government mobilizes financial resources, allocates expenditures across public priorities, manages debt obligations, and utilizes fiscal policy to ensure macroeconomic stability and equitable growth.

Government Receipts

Government receipts are divided into two fundamental accounting categories:

1. Revenue Receipts

Recurring, non-debt receipts that **neither create a financial liability nor cause a reduction in government assets**.

- **Tax Revenue:** Mandatory financial levies imposed under legal authority without direct quid-pro-quo return. Comprises direct taxes (corporation tax, personal income tax, capital gains tax) and indirect taxes (GST, basic customs duties, central excise on petroleum).
- **Non-Tax Revenue:** Incomes earned by the government through public property and administrative services, including interest received on loans advanced to States and PSUs, dividend transfers and profits from PSUs and the Reserve Bank of India, administrative fees, spectrum auction proceeds, and external grants.

2. Capital Receipts

Non-recurring receipts that **either create a financial liability or reduce government assets**.

- **Debt Capital Receipts:** Market borrowings through dated government securities, treasury bills, and loans raised from multilateral institutions.
- **Non-Debt Capital Receipts (NDCR):** Disinvestment proceeds from the sale of government equity in Public Sector Enterprises and recoveries of loans previously advanced to States and public corporations.

Government Expenditure

Government expenditures are classified into two broad categories:

1. Revenue Expenditure

Expenditures incurred for normal administrative operations and maintenance of public services that **do not result in the creation of durable physical or financial assets**.

- **Debt Servicing:** Interest payments on accumulated internal and external public debt (the single largest revenue expenditure component).
- **Salaries & Administration:** Government salaries, administrative allowances, and employee pensions.
- **Subsidies:** Food, fertilizer, and fuel subsidies.
- **Administrative Grants:** Grants given to State Governments for general administrative purposes.

2. Capital Expenditure (Capex)

Outlays that **lead to the creation of durable capital assets or a reduction in financial liabilities**.

- **Infrastructure Networks:** Capital investments in transport networks, highways, railways, power grids, and digital infrastructure.
- **Asset Acquisition:** Acquisition of land, machinery, and defense capital equipment.
- **Financial Infusions:** Equity infusions into public financial institutions and PSUs.
- **Development Loans:** Loans and advances extended to State Governments.
- **Debt Repayment:** Repayment of public debt principal obligations.

Public Debt and Subsidy Rationalization

- **Public Debt:** Represents the total accumulated stock of government borrowings over time. While the annual fiscal deficit measures the single-year borrowing flow, public debt measures the cumulative debt stock.
- **Internal Debt:** Borrowings mobilized from domestic citizens and financial institutions within India (denominated in Indian Rupees).
- **External Debt:** Borrowings contracted from foreign governments, international capital markets, and multilateral agencies (denominated in foreign currencies).
- **Subsidies:** Targeted financial assistance provided by the state to reduce consumer prices or production costs for essential goods. The three major Central subsidies are **food subsidy** (operationalized through FCI under the National Food Security Act), **fertilizer subsidy** (nutrient-based and urea concessions), and **petroleum/LPG subsidy**.

- **Rationalization:** Modern fiscal reforms emphasize subsidy rationalization through Direct Benefit Transfer (DBT), Aadhaar-authenticated targeting, and the elimination of administrative leakages, preserving fiscal space for growth-enhancing capital expenditure.

2.2 The Union Budget and Constitutional Funds

The **Union Budget** is the annual financial statement of estimated receipts and expenditure of the Government of India for the forthcoming financial year.

Constitutional Architecture & Legislative Procedure

- **Article 110 (Money Bill):** Defines a Money Bill as one dealing exclusively with matters such as the imposition, abolition, remission, alteration, or regulation of any tax; regulation of borrowing of money; and custody/operation of the Consolidated Fund or Contingency Fund.
- A Money Bill can be introduced **only in the Lok Sabha** and only on the **prior recommendation of the President**.
- The **Speaker of the Lok Sabha** holds the final and conclusive authority to certify whether a bill is a Money Bill.
- The Rajya Sabha cannot amend or reject a Money Bill; it can only make recommendations and must return the bill within **14 days**, failing which the bill is deemed passed by both Houses in its original form.
- **Article 112 (Annual Financial Statement):** Mandates that the President shall, in respect of every financial year, cause to be laid before both Houses of Parliament a statement of estimated receipts and expenditure of the Government of India. The budget is presented by the **Union Finance Minister on behalf of the President**.
- Following the 2017 reform, the budget is presented on **1 February** (earlier on the last working day of February).
- **Article 113 (Procedure in Parliament with respect to Estimates):**
- Expenditure *charged* upon the Consolidated Fund of India (such as salaries of the President, Judges of the Supreme Court, CAG, debt servicing charges) is non-votable; it can be discussed in Parliament but is **not submitted to the vote of Parliament**.
- Other expenditures are submitted in the form of **Demands for Grants** exclusively to the Lok Sabha. Under **Article 113(3)**, no demand for a grant shall be made except on the **prior recommendation of the President**.
- **Article 114 (Appropriation Bills):** Provides that no money shall be withdrawn from the Consolidated Fund of India except under appropriation made by law passed by Parliament.
- **Article 115 (Supplementary, Additional, and Excess Grants):**
- **Supplementary Grant:** Voted when the amount authorized by the Appropriation Act for a particular service is found to be insufficient for the current year.
- **Additional Grant:** Voted when a need arises for expenditure upon some new service not contemplated in the original budget.
- **Excess Grant:** Voted when money has been spent on any service during a financial year in excess of the amount granted. An Excess Grant must be **scrutinized and recommended by the Public**

Accounts Committee (PAC) before it is submitted to the Lok Sabha for voting.

- **Article 116 (Special Parliamentary Grants):**
- **Vote on Account:** An advance grant made by the Lok Sabha to enable the executive to meet running expenditures pending the completion of the full budgetary process and enactment of the Appropriation Bill. Traditionally granted for **two months** (an amount equal to one-sixth of the total estimated expenditure).
- **Vote of Credit:** Described as a **"Blank Cheque"** given to the executive. Granted to meet an unexpected demand upon the resources of India when, on account of the magnitude or the indefinite character of the service (e.g., wartime exigencies or national emergencies), the demand cannot be stated with details ordinarily given in an Annual Financial Statement.
- **Exceptional Grant:** Voted for a particular and special purpose that forms no part of the ordinary current service of any financial year.
- **Token Grant:** Voted when funds to meet expenditure on a new service can be made available through re-appropriation. A nominal sum of **₹1** is submitted to the vote of the House.
- **Guillotine:** A parliamentary procedure applied on the last of the allotted days for discussing Demands for Grants. At the appointed hour, the Speaker puts every outstanding Demand for Grant—whether debated or undebated—to vote immediately without further discussion.
- **Article 202:** Corresponds at the State level to Article 112, governing the presentation of the State Annual Financial Statement by State Governments before the State Legislative Assembly.

Parliamentary Cut Motions

During the discussion on Demands for Grants in the Lok Sabha, Members of Parliament may move Cut Motions to reduce budgetary allocations:

1. **Disapproval of Policy Cut:** Demands that the amount of the demand be reduced to **₹1**. It signifies total disapproval of the underlying government policy and requires the mover to outline an alternative policy.
2. **Economy Cut:** Demands that the amount of the demand be reduced by a **specified amount**, arguing that economy can be effected without impairing administrative efficiency.
3. **Token Cut:** Demands that the amount of the demand be reduced by **₹100**, ventilating a specific, articulated grievance within the administrative responsibility of the Government of India.

(Note: Passage of any Cut Motion in the Lok Sabha amounts to a vote of no-confidence against the government, requiring the Council of Ministers to resign).

Historical Evolution of Budgetary Systems & Approaches

Over the decades, budgeting in India has evolved through several distinct structural frameworks:

1. **Performance Budgeting:** - Originated in the United States based on the First Hoover Commission (1949). - Introduced in India in **1968** on the recommendation of the **First Administrative Reforms Commission (ARC)** (headed by Morarji Desai / K. Hanumanthaiah). - Shifts focus from financial inputs (what money is spent on) to physical accomplishments and operational results (what work is performed).

2. **Zero-Based Budgeting (ZBB):** - Conceptualized by **Peter A. Pyhrr** in 1970 at Texas Instruments and popularized during Jimmy Carter's governorship in Georgia (USA). - In ZBB, every budget line item

and program must be justified afresh from a **"zero base"** for each new fiscal period; previous year's expenditure allocations are not taken as an automatic baseline. - First adopted in the **United States**; introduced in India experimentally in **1986** by the Department of Science and Technology, and formally adopted during the Seventh Five-Year Plan.

3. **Outcome Budgeting:** - Introduced in India in **2005–06** by Union Finance Minister **P. Chidambaram**. - Serves as a pre-expenditure procurement tool that converts financial outlays into measurable physical outputs and final developmental outcomes. The monitoring of outcomes is jointly overseen by the spending ministries, the Ministry of Finance, and the Planning Commission (now NITI Aayog).
4. **Gender Budgeting:** - Formally institutionalized in India in Union Budget **2005–06** through the introduction of **Budget Statement 20** (Gender Budget Statement). - Analyzes public expenditure through a gender lens to ensure equitable resource allocation:
    - **Part A:** Schemes with **100%** budgetary allocation exclusively for women (e.g., maternal health, women's hostels).
    - **Part B:** Pro-women schemes with at least **30% to 99%** allocation targeted towards women.
5. **Long-Term Fiscal Policy (LTFP):** - Unveiled in **December 1985** by Union Finance Minister **V.P. Singh**. - Aimed at providing a predictable, stable multi-year fiscal and taxation roadmap coterminous with the Five-Year Plan (specifically the Seventh Plan 1985–90), eliminating uncertainty from annual fiscal tinkering.
6. **Union Budget 2017–18: The Triple Structural Reforms:** - Presented by Union Finance Minister Arun Jaitley, introducing three landmark procedural reforms:
    1. **Advancement of Budget Date:** Budget presentation was moved forward from the last working day of February to **1 February**, ensuring parliamentary passage of the Appropriation Bill and Finance Bill before the beginning of the financial year on 1 April.
    2. **Merger of Railway Budget with General Budget:** Ended the 92-year-old separate Railway Budget tradition. The separate Railway Budget had been instituted in **1924** following the recommendations of the **Acworth Committee (1920–21)**.
    3. **Abolition of Plan vs. Non-Plan Expenditure:** Discontinued the legacy Five-Year Plan distinction between Plan and Non-Plan spending, standardizing budgetary accounting strictly into **Capital Expenditure and Revenue Expenditure**.

The Three Constitutional Funds

The Constitution of India establishes three distinct funds for public revenue and expenditure:

1. **Consolidated Fund of India (Article 266(1)):** - The primary treasury of the nation. All revenues received by the Government of India, all loans raised by the issue of treasury bills or dated securities, and all moneys received in repayment of loans flow into this fund. - No money can be withdrawn from the Consolidated Fund without an **Appropriation Act enacted by Parliament**.
2. **Public Account of India (Article 266(2)):** - Accounts for public moneys received by or on behalf of the Government of India that do not belong to the Consolidated Fund, where the government functions as a banker or trustee (e.g., Provident Funds, Small Savings collections, judicial deposits, and remittances). - Expenditures from the Public Account do not require prior parliamentary appropriation.

3. **Contingency Fund of India (Article 267):** - An emergency reserve fund established by Parliament under the *Contingency Fund of India Act, 1950*. - Placed at the disposal of the **President of India**, enabling advances to be made to meet unforeseen expenditures pending formal authorization by Parliament under Article 115 or 116. Advances are subsequently recouped from the Consolidated Fund upon parliamentary approval.

Q-EC1. UPPCS (Pre) 2021

Which of the following Articles of the Indian Constitution is related to Contingency Fund?

A. Article 265
B. Article 266
C. Article 267
D. Article 268

Show answer

Explanation: - **Article 267** empowers Parliament (and State Legislatures for States) to establish a Contingency Fund in the nature of an imprest fund placed at the disposal of the President of India (or Governor) to meet unforeseen expenditures pending legislative sanction. - Article 265 prohibits taxation without the authority of law; Article 266 establishes the Consolidated Fund and Public Account; Article 268 deals with duties levied by the Union but collected and appropriated by the States. **Ans: C.** Article 267.

Q-EC2. UPPCS (Pre) 2024

Match List-I and List-II and choose the correct answer from the codes given below the lists:

List-I	List-II
A. Consolidated Fund of India	1. Article 266
B. Finance Commission	2. Article 360
C. Financial Emergency	3. Article 280
D. Comptroller and Auditor General of India	4. Article 148

Select the correct answer from the codes given below:

A. A-3, B-1, C-2, D-4
B. A-4, B-1, C-3, D-2
C. A-1, B-3, C-2, D-4
D. A-1, B-2, C-3, D-4

Show answer

Explanation: - **Consolidated Fund of India:** Article 266 (A-1) - **Finance Commission:** Article 280 (B-3) - **Financial Emergency:** Article 360 (C-2) - **Comptroller and Auditor General of India:** Article 148 (D-4) - The correct matching sequence is A-1, B-3, C-2, D-4. **Ans: C.** A-1, B-3, C-2, D-4.

2.3 Deficit Concepts, Deficit Financing, and the FRBM Framework

Budgetary deficits measure the magnitude by which public expenditures exceed public revenues, defining government borrowing requirements, monetary expansion, and macroeconomic stability.

The Key Deficit Metrics

1. Revenue Deficit (RD)

> **Formula:** `Revenue Deficit = Revenue Expenditure - Revenue Receipts`

- Measures the extent to which the government's current operational consumption exceeds regular current earnings.
- A high revenue deficit indicates fiscal vulnerability, signifying that the government is borrowing simply to maintain day-to-day administrative machinery rather than building productive assets.

2. Fiscal Deficit (FD)

> **Formula:** `Fiscal Deficit = Total Expenditure - (Revenue Receipts + Non-Debt Capital Receipts)`

- **Equivalently:** `Fiscal Deficit = Total Budget Borrowings and Other Liabilities`.
- The fiscal deficit is the definitive macroeconomic measure of government borrowing requirements from all internal and external sources.
- In Union Budget terminology, `Fiscal Deficit = Budgetary Deficit + Net increase in internal and external borrowings and other liabilities`.

3. Primary Deficit (PD)

> **Formula:** `Primary Deficit = Fiscal Deficit - Interest Payments`

- Strips out the burden of legacy debt interest payments contracted by past governments.
- Reflects the current fiscal policy stance; a zero primary deficit implies that the government is borrowing solely to service historical debt obligations.

4. Effective Revenue Deficit (ERD)

> **Formula:** `Effective Revenue Deficit = Revenue Deficit - Grants-in-aid for creation of capital assets`

- Adjusts for Central grants given to States which, while classified as revenue expenditure in Union accounts, are utilized by States to build physical infrastructure (highways, school buildings, rural water systems).

5. Monetized Deficit

> **Formula:** `Monetized Deficit = Net increase in RBI credit to the Central Government`

- Measures that specific portion of the government's budgetary deficit that is financed directly through central bank money creation (printing of new high-powered currency or RBI absorption of government debt securities).
- Directly expands reserve money in the banking system, carrying high inflationary potential.

6. Historical Budgetary Deficit

- Defined historically as `Total Expenditure - Total Receipts` (the net deficit that used to be financed by drawing down government cash balances with the RBI and issuing 91-day ad-hoc Treasury bills). Following financial sector reforms, this metric was discontinued as the primary deficit indicator and replaced by the Fiscal Deficit.

Deficit Financing and Macroeconomic "Pump Priming"

- **Deficit Financing:** The budgetary mechanism whereby a government finances an excess of public expenditure over public revenues through borrowings from the market, external debt, or creation of new money (monetization). In developing economies, deficit financing is justified when deployed to build durable infrastructure and productive capital assets. However, if deployed on non-productive revenue expenditure, it induces chronic demand-pull inflation and macroeconomic instability.
- **Keynesian "Pump Priming":** An economic recovery tool formulated during the Great Depression. Refers to the deliberate injection of debt-financed government spending into a depressed economy to stimulate aggregate demand, enhance purchasing power, and revitalize private business activity. The metaphor implies pouring water into a dry mechanical pump to initiate and sustain a self-flowing water supply.

Abolition of Ad-hoc Treasury Bills and Introduction of Ways and Means Advances (WMA)

One of the most consequential monetary-fiscal reforms in post-independence India was ending the automatic monetization of budget deficits:

1. **The Legacy Practice of Ad-hoc Treasury Bills:** - Prior to 1997, the Central Government had unrestricted access to automatic deficit monetization. Whenever the government's cash balance with the RBI fell below statutory limits, the RBI automatically issued **91-day ad-hoc Treasury Bills** at a fixed, artificial interest rate of 4.6% per annum. - This automatic credit expansion stripped the RBI of control over base money creation, leading to persistent double-digit inflation.
2. **Abolition of Ad-hoc Treasury Bills (31 March 1997):** - Pursuant to a historic pact signed in September 1994 between RBI Governor **Dr. C. Rangarajan** and Union Finance Minister **Dr. Manmohan Singh**, the system of automatic monetization was phased out and **completely abolished on 31 March 1997** under Finance Minister **P. Chidambaram**. - Since 31 March 1997, the Central Government must finance its fiscal requirements through market borrowings at competitive market-determined interest rates.
3. **Ways and Means Advances (WMA) (Effective 1 April 1997):** - Introduced on **1 April 1997** under **Section 17(5) of the Reserve Bank of India Act, 1934** to replace the ad-hoc Treasury bill

mechanism. - **Purpose:** WMA is **not a source of deficit financing or capital borrowing**. It is an overdraft-style, short-term liquidity facility designed exclusively to accommodate purely temporary, seasonal cash flow mismatches between government receipts and expenditure disbursements. - **Tenure:** All WMA loans are clean, short-term advances repayable strictly within **90 days** from the date of drawal. - **Interest Rates:** WMA is charged at the **RBI Repo Rate**. If borrowings exceed the mutually agreed WMA limit, an **Overdraft (OD)** is triggered, charged at **Repo Rate + 2%**. - **Coverage:** WMA is available to both the **Central Government** and **State Governments** (categorized into *Special WMA* against pledged Government Securities, and *Normal WMA* determined based on each State's three-year average revenue expenditure).

The FRBM Act, 2003 and N.K. Singh Review

- **FRBM Act, 2003:** Enacted to institutionalize fiscal discipline, reduce fiscal deficits, eliminate revenue deficits, and ensure inter-generational equity in debt management.
- **Mandatory Fiscal Documents:** Section 3 of the Act requires the Central Government to lay four fiscal policy statements before Parliament alongside the budget: 1. *Macro-Economic Framework Statement* 2. *Fiscal Policy Strategy Statement* 3. *Medium-Term Fiscal Policy Statement* 4. *Medium-Term Expenditure Framework Statement*
- **N.K. Singh Committee (2017) Recommendations:**
- Recommended replacing annual deficit targeting with a **debt-to-GDP anchor**: general government debt should be brought down to **60% of GDP** (40% for the Centre and 20% for States) by 2022–23.
- Recommended targeting a Central fiscal deficit of **3.0% of GDP**.
- Proposed an **"Escape Clause"** permitting deviations from fiscal targets up to 0.5% of GDP under exceptional conditions (national security, war, severe agricultural drought, or structural economic collapse).

2.4 Tax Architecture: Direct and Indirect Taxation

A modern tax system is evaluated against the classical canons of taxation: equity, certainty, convenience, and economy.

Direct vs Indirect Taxation

- **Direct Taxes:** Taxes levied directly on the income, wealth, or corporate profits of legal entities. The statutory liability (impact) and ultimate economic burden (incidence) reside on the identical taxpayer. Direct taxes are non-shiftable (e.g., Personal Income Tax, Corporation Tax, Securities Transaction Tax).
- **Indirect Taxes:** Taxes levied on the production, sale, or consumption of commodities and commercial services. The taxpayer legally liable to collect the tax (manufacturers, retailers) shifts the economic incidence to final consumers through price inclusion (e.g., GST, Basic Customs Duty, Central Excise on fuels).

Tax Progression Classifications

1. **Progressive Taxation:** The marginal tax rate escalates as taxable income increases (e.g., income tax slabs). It promotes vertical equity by placing higher relative tax burdens on affluent brackets.

2. **Proportional Taxation:** The tax rate remains flat and uniform across all income levels (e.g., a constant 15% rate irrespective of income magnitude).
3. **Regressive Taxation:** The effective tax rate decreases as taxable income rises. Indirect consumption taxes often operate regressively because lower-income households spend a significantly larger fraction of their total earnings on basic consumable goods.
4. **Degressive Taxation:** A hybrid tax architecture where rates rise progressively across initial income brackets, but then level off into a flat, uniform proportional rate for top income brackets. Exam taxonomy frequently classifies the **Indian income tax system as degressive**.

Landmark Tax Reform & Economic Policy Committees

Competitive examinations frequently test landmark economic and taxation committees in matching pairs and chronological questions:

Committee / Commission	Year	Core Mandate & Landmark Recommendations
Nicholas Kaldor	**1956**	British economist from Cambridge invited by the Government of India. Submitted the influential *Indian Tax Reform: Report of a Survey*. Recommended an integrated direct tax system comprising **Expenditure Tax (1957)**, **Wealth Tax (1957)**, and **Gift Tax (1958)** alongside income tax and capital gains tax to broaden the base and curb evasion.
Direct Taxes Enquiry Committee (Wanchoo Committee)	**1971**	Chaired by former CJI **Justice K.N. Wanchoo**. Examined the causes of black money, tax evasion, and tax arrears. Recommended slashing peak marginal income tax rates (which had reached an expropriatory 97.75%), tightening search-and-seizure powers, and voluntary disclosure schemes.
Indirect Taxation Enquiry Committee (L.K. Jha Committee)	**1976–77**	Recommended reforming the cascading indirect tax structure by introducing a manufacturing-stage Value Added Tax (MANVAT), which directly culminated in the introduction of **MODVAT in 1986**.
Tax Reforms Committee (Raja J. Chelliah Committee)	**1991–93**	The foundational blueprint for India's post-1991 economic reforms. Recommended: (1) Lowering and simplifying corporate and personal income tax rates to moderate levels; (2) Rationalizing customs tariffs to make domestic industry competitive; (3) Introducing a full-fledged **Service Tax** (implemented in **1994–95**).
C. Rangarajan Committee on Disinvestment	**1993**	Formulated the criteria and institutional architecture for **Disinvestment of Shares in Public Sector Enterprises (PSEs)**.
Onkar Goswami Committee	**1993**	Addressed **Industrial Sickness and Corporate Restructuring**, recommending reforms to the Sick Industrial Companies Act (SICA) and BIFR procedures.
R.N. Malhotra Committee	**1993–94**	Recommended landmark **Insurance Sector Reforms**, leading to the establishment of the Insurance Regulatory and Development Authority (IRDA Act, 1999) and opening the sector to private and foreign participation.

Committee / Commission	Year	Core Mandate & Landmark Recommendations
M. Narasimham Committees	**1991 & 1998**	Chaired by former RBI Governor M. Narasimham on **Banking Sector and Financial System Reforms** (introduced prudential accounting, Capital Adequacy Ratios [CAR/Basel norms], NPA classifications, and phased reduction in statutory pre-emptions like SLR and CRR).
Task Force on Direct & Indirect Taxes (Dr. Vijay Kelkar Committee)	**2002**	Recommended comprehensive rationalization: widening the tax base, phasing out exemptions, establishing a National Tax Agency, simplifying income tax slabs, and pioneering the foundational concept of a unified national **Goods and Services Tax (GST)**.

Corporate & Specialized Direct Tax Mechanisms

1. **Minimum Alternate Tax (MAT - Section 115JB):** - Introduced in **Union Budget 1996–97** by Union Finance Minister **P. Chidambaram**. - **Target: "Zero-Tax Companies"**—profitable, flourishing corporate entities that paid substantial dividends to shareholders while paying negligible or zero corporate income tax under standard provisions of the Income Tax Act by utilizing various exemptions, tax deductions, and accelerated depreciation allowances. - **Mechanism:** Imposes a mandatory minimum tax on a company's **book profits** (calculated in accordance with Schedule III of the Companies Act) if normal corporate tax liability falls below this threshold.

2. **Fringe Benefit Tax (FBT):** - Introduced in **Union Budget 2005–06** by Finance Minister P. Chidambaram to tax corporate employers on perquisites and collective fringe benefits provided to employees (entertainment, luxury travel, conveyance, corporate club memberships). - **Abolished in Union Budget 2009–10** due to compliance complexity and corporate representations.

3. **Historical Direct Taxes Abolished in India:** - **Estate Duty:** Introduced in **1953** under the *Estate Duty Act, 1953*. Levied on the total principal value of estate/property passing upon a person's death. **Abolished in 1985** by Finance Minister V.P. Singh to incentivize domestic savings and capital accumulation. - **Gift Tax:** Introduced in **1958** following Nicholas Kaldor's recommendations. Abolished as an independent statute in **1998** by Finance Minister Yashwant Sinha. *(Gifts received without adequate consideration exceeding ₹50,000 are now treated as "Income from Other Sources" under Section 56(2) of the Income Tax Act).* - **Wealth Tax:** Introduced in **1957** under the *Wealth Tax Act, 1957* (Kaldor recommendation). Levied at 1% on net taxable wealth over ₹30 lakh. **Abolished in Union Budget 2015–16** by Finance Minister Arun Jaitley because administrative and compliance costs far exceeded revenue receipts. Replaced by a **2% additional surcharge** on super-rich individuals earning taxable income over ₹1 crore. - **Interest Tax:** Levied on gross interest earnings of commercial banks and credit institutions; introduced in 1974, revived in 1991, and **permanently abolished in 2001**.

4. **Union Budget 1997–98 ("The Dream Budget"):** - Presented in February 1997 by Union Finance Minister **P. Chidambaram**. - Popularly dubbed the "Dream Budget" because of dramatic, across-the-board cuts in tax rates: peak personal income tax rate was reduced from 40% to **30%**, domestic corporate tax rate from 40% to **35%**, and customs duties were significantly lowered. The underlying rationale was rooted in supply-side economics and the **Laffer Curve**, showing that moderate tax rates foster higher voluntary tax compliance.

5. **"Indirect Transfers" (Taxation of Offshore Assets):** - Gained prominence during the landmark *Vodafone* tax dispute. - Refers to transactions where shares of an offshore foreign holding company are transferred outside India, but the value of those shares is substantially derived from underlying capital assets located within India. - The Income Tax Act was amended (under Section 9(1)(i)) to clarify that income arising from such indirect transfers of Indian assets is legally subject to capital gains tax in India.

Permanent Account Number (PAN) Alphanumeric Structure

The **Permanent Account Number (PAN)** is a 10-digit unique alphanumeric identifier issued by the Income Tax Department (CBDT) under **Section 139A** of the Income Tax Act, 1961:

- **Legal Validity:** Valid as **proof of identity**, **proof of date of birth**, and **proof of registered taxpayer status**.
- **Important Limitation:** PAN card **CANNOT be used as proof of address** because a taxpayer's residential address is not printed on the physical PAN card.
- **Decoding the 10-Character Structure:**
- **Characters 1 to 3:** Running alphabetic series (`AAA` to `ZZZ`).
- **Character 4 (Status / Entity of the Assessee — High-Yield Exam Fact):**
  - **P** — Individual / Person *(most frequently asked question)*
  - **C** — Company
  - **H** — Hindu Undivided Family (HUF)
  - **F** — Partnership Firm / Limited Liability Partnership (LLP)
  - **A** — Association of Persons (AOP)
  - **T** — Trust
  - **B** — Body of Individuals (BOI)
  - **L** — Local Authority
  - **J** — Artificial Juridical Person
  - **G** — Government Agency
- **Character 5:** The first letter of the individual taxpayer's surname / last name (e.g., 'S' for Sharma) or entity's registered legal name.
- **Characters 6 to 9:** Running sequential four-digit numerals (`0001` to `9999`).
- **Character 10:** Alphabetic check digit.
- **Project e-Sahyog:**
- Launched in **October 2015** by the **Central Board of Direct Taxes (CBDT)**.
- An initiative to provide a paperless, digital online platform to resolve mismatches between income tax returns filed by taxpayers and financial transaction information reported by third parties, without requiring physical visits to income tax offices.

Evolution of Indirect Taxes: The Road to GST

1. **The Problem of Cascading Taxation:** - Under the traditional system of sales tax and central excise, tax was levied on the gross value of goods at each production and distribution stage, without credit

for taxes paid on inputs. This created a **"tax on tax"** (cascading effect), escalating consumer prices and distorting supply chains.

2. **MODVAT (Modified Value Added Tax) (1986):** - Introduced in **1986** by Finance Minister V.P. Singh, based on the **L.K. Jha Committee (1976–77)** report. - Provided an **Input Tax Credit (ITC)** on central excise duties paid on manufacturing inputs, mitigating the cascading burden on manufactured products.
3. **CENVAT (Central Value Added Tax) (2000):** - Replaced MODVAT in **2000** with a standardized, unified excise duty structure across industrial inputs and capital goods.
4. **Service Tax (1994–95):** - Recommended by the **Raja Chelliah Tax Reforms Committee**, introduced under the Finance Act, 1994. - Began modestly on **1 July 1994** at a rate of 5% on only three services: (1) Telephone connections, (2) Non-life general insurance, and (3) Stockbroking. It steadily expanded into a comprehensive service tax regime before merging into GST.
5. **State-Level Value Added Tax (VAT) (2005):** - Designed by the **Empowered Committee of State Finance Ministers**, chaired by **Dr. Asim Dasgupta** (West Bengal Finance Minister). - Replaced the antiquated single-point and multi-point State Sales Tax with a multi-stage value-added tax with input tax credit. - **Haryana** was the **first state in India** to implement State VAT in **2003**. - Most Indian States rolled out State VAT on **1 April 2005**. - **Uttar Pradesh** was the last major State to implement VAT, adopting it on **1 January 2008**.
6. **Goods and Services Tax (GST) (1 July 2017):** - The culmination of indirect tax reform, merging Central Excise, Service Tax, State VAT, Entry Tax, and Central Sales Tax into a single comprehensive national consumption tax.

Specialized Tax Concepts

- **Direct Tax Code (DTC):** An initiative aimed at consolidating and simplifying direct tax laws, designed to replace the archaic Income Tax Act, 1961.
- **Tobin Tax:** A proposed transaction tax on spot foreign-currency conversions, conceptualized by Nobel laureate James Tobin to curb volatile, destabilizing short-term cross-border currency speculation.
- **Pigovian Tax:** A tax levied on commercial activities that generate negative externalities (pollution, environmental degradation) to align private costs with social costs.
- **Tax Buoyancy vs Tax Elasticity:**
- **Tax Buoyancy:** Measures the percentage change in tax revenues relative to the percentage change in GDP, reflecting both economic growth and discretionary tax rate changes.
- **Tax Elasticity:** Measures tax revenue growth resulting purely from natural economic expansion, excluding the impact of legislative changes in tax rates or exemptions.
- **Laffer Curve:** An economic curve illustrating that tax revenues initially rise with higher tax rates, but beyond an optimal tipping point, excessively high tax rates discourage work and investment, ultimately reducing aggregate tax revenues.

Q-EC3. UKPCS (Pre) 2021

What kind of Tax System is found in India?

A. Progressive
B. Degressive
C. Proportional
D. Regressive

Show answer

Explanation: - In formal economic taxonomy and competitive examination answer keys, the Indian personal income tax system is categorized as **degressive**. While rates escalate progressively through lower and middle income slabs, they flatten out into a proportional maximum marginal rate for higher income levels. **Ans: B.** Degressive.

Q-EC4. UKPCS (Pre) 2021

'Tobin Tax' is levied on:

A. on bodies creating externalities
B. on the basis of weight
C. on foreign exchange transactions
D. on international air travel

Show answer

Explanation: - Proposed by Nobel laureate James Tobin in 1972, the **Tobin Tax** is a theoretical levy imposed on spot international foreign exchange transactions to penalize volatile, short-term speculative currency flows while leaving long-term productive investments unaffected. **Ans: C.** on foreign exchange transactions.

Q-EC5. UPPCS (Pre) 2018

Direct Tax Code in India is related to which of the following?

A. Sales Tax
B. Income Tax
C. Excise Tax
D. Service Tax

Show answer

Explanation: - The **Direct Tax Code (DTC)** was formulated by the Government of India to consolidate, integrate, and modernize laws relating to direct taxes, specifically aiming to replace the Income Tax Act, 1961 and Wealth Tax Act. Sales tax, excise duty, and service tax are indirect taxes. **Ans: B.** Income Tax.

2.5 The Goods and Services Tax (GST) Architecture

The **Goods and Services Tax (GST)** represents the most extensive indirect tax reform in independent India's history, replacing a fragmented system of Central and State indirect taxes with a unified,

destination-based consumption levy.

Foundational Principles

- **Destination-Based Consumption Tax:** GST is collected at the point of final consumption rather than at the point of origin or manufacture. Tax revenues accrue to the State where goods or services are actually consumed.
- **Value-Added Principle & Input Tax Credit (ITC):** GST is levied at each stage of the supply chain, but businesses can claim an **Input Tax Credit** for taxes paid on input purchases, eliminating the cascading "tax on tax" effect.
- **Dual GST Model:** Due to India's federal structure, both the Union and States administer GST concurrently:
- **CGST (Central GST):** Levied by the Centre on intra-State supplies.
- **SGST / UTGST (State / UT GST):** Levied by States / UTs on intra-State supplies.
- **IGST (Integrated GST):** Levied by the Centre under **Article 269A** on inter-State supplies and imports. Collected IGST is apportioned between the Union and the destination State based on GST Council formulas.

Constitutional Architecture

- **101st Constitutional Amendment Act, 2016:**
- **Article 246A:** Grants special concurrent legislative power to Parliament and State Legislatures to enact laws regarding Goods and Services Tax.
- **Article 269A:** Provides for the levy and collection of IGST on inter-State trade and imports by the Government of India, with proceeds apportioned between the Centre and States.
- **Article 279A:** Mandates the establishment of the **GST Council**.
- **The GST Council (Article 279A):**
- A constitutional federal body established to make recommendations on GST rates, exemptions, model laws, threshold limits, and special provisions for northeastern/hilly states.
- **Chairperson:** Union Finance Minister.
- **Members:** Union Minister of State for Finance and State Finance/Taxation Ministers.
- **Voting Framework:** Decisions require a weighted majority of at least **three-fourths (75%)** of votes present. The Central Government holds **one-third (33.3%)** of total weighted votes; all State Governments together hold **two-thirds (66.7%)**. Thus, neither the Centre nor the States can unilaterally pass decisions without mutual consensus.

Taxes Subsumed vs Taxes Outside GST

- **Central Levies Subsumed:** Central Excise Duty, Additional Excise Duties, Service Tax, Additional Customs Duty (CVD), Special Additional Duty of Customs (SAD), and Central surcharges/cesses relating to goods and services.
- **State Levies Subsumed:** State VAT/Sales Tax, Central Sales Tax (CST), Purchase Tax, Luxury Tax, Entry Tax / Octroi, Entertainment Tax (except when levied by local bodies), Taxes on lotteries/betting, and State surcharges/cesses.
- **Taxes Kept Outside GST:** 1. **Basic Customs Duty (BCD):** Continues as an independent border import tariff. 2. **Alcohol for Human Consumption:** Specifically excluded by Article 366(12A); States retain

exclusive excise and VAT jurisdiction. 3. **Five Petroleum Products:** Petroleum crude, high-speed diesel, motor spirit (petrol), natural gas, and aviation turbine fuel (ATF) are temporarily outside GST; they will enter GST on a date notified by the GST Council. 4. **Electricity Duty & Stamp Duty:** Retained by State Governments. 5. **Direct Taxes:** Personal Income Tax and Corporation Tax remain entirely outside GST.

Q-EC6. UPPCS (Pre) 2021

Which of the following Constitution Amendment Acts made necessary provisions for the implementation of GST (Goods and Service Tax) regime?

A. 101st Amendment Act
B. 102nd Amendment Act
C. 103 rd Amendment Act
D. 104 th Amendment Act

Show answer

Explanation: - The **101st Constitutional Amendment Act, 2016** provided the constitutional framework for introducing GST in India, inserting Articles 246A, 269A, and 279A. (102nd gave constitutional status to NCBC; 103rd granted 10% EWS reservation; 104th extended SC/ST reservation in legislatures). **Ans: A.** 101st Amendment Act.

Q-EC7. UPPCS (Pre) 2024

GST in India was introduced through which Constitutional Amendment Act?

A. 101st Amendment
B. 91st Amendment
C. 86th Amendment
D. 73rd Amendment

Show answer

Explanation: - GST was introduced by the 101st Constitutional Amendment Act, 2016, coming into effect on 1 July 2017. **Ans: A.** 101st Amendment.

Q-EC8. UKPCS (Pre) 2021

Which of the following taxes are abolished by the Goods and Services Tax?

A. Property Tax
B. Corporation Tax
C. Value Added Tax
D. Income Tax

Show answer

Explanation: - GST subsumed indirect levies including State Value Added Tax (VAT), Central Excise Duty, and Service Tax. Direct taxes (Corporation Tax, Income Tax) and municipal property taxes remain outside GST. **Ans: C.** Value Added Tax.

2.6 The Finance Commission and Fiscal Federalism

Fiscal federalism establishes the structural mechanisms governing the division of revenue collection powers, expenditure responsibilities, and tax devolution between the Union and the States under the Constitution of India.

The Finance Commission (Article 280)

- **Constitutional Status:** The Finance Commission is an independent quasi-judicial body constituted by the **President of India under Article 280** every fifth year or earlier.
- **Composition:** Under Article 280(1), the Commission consists of a **Chairman and four other members** appointed by the President.
- **Qualifications:** Under Article 280(2), **Parliament by law determines the qualifications** of members (*Finance Commission (Miscellaneous Provisions) Act, 1951*):
- Chairman: A person having experience in public affairs.
- Members: Qualified as High Court judges; having specialized knowledge of government finances and accounts; wide administrative and financial experience; or special knowledge of economics.
- **Core Functions (Article 280(3)):** 1. **Vertical Devolution:** Recommending the distribution between the Union and States of the net proceeds of divisible taxes. 2. **Horizontal Devolution:** Recommending the allocation among States of their respective shares of tax revenue. 3. **Grants-in-Aid:** Formulating the principles governing statutory grants-in-aid to State revenues under **Article 275**. 4. **Panchayat and Municipal Augmentation:** Suggesting measures to augment State Consolidated Funds to supplement local government resources based on recommendations of State Finance Commissions.
- **Reporting Procedure (Article 281):** The Commission submits its report to the **President**, who causes it, along with an action-taken memorandum, to be laid before each House of Parliament. The Commission **does not report to NITI Aayog**.

Devolution Benchmarks

- **Vertical Devolution Milestones:**
- **10th Finance Commission (K.C. Pant):** Recommended alternative devolution scheme: 29% share of gross central taxes.
- **11th Finance Commission (Prof. A.M. Khusro):** Recommended 29.5% devolution.
- **12th Finance Commission (Dr. C. Rangarajan):** Recommended 30.5% devolution.
- **13th Finance Commission (Dr. Vijay Kelkar):** Recommended a 32% share for States.
- **14th Finance Commission (Dr. Y.V. Reddy):** Raised the States' share substantially from 32% to **42%**, providing States with enhanced untied fiscal autonomy.
- **15th Finance Commission (N.K. Singh):** Maintained vertical devolution at **41%** (adjusting 1% to provide resources for the newly created Union Territories of Jammu & Kashmir and Ladakh).
- **15th Finance Commission Horizontal Devolution Formula:**
- **Income Distance:** 45.0% (equity criterion rewarding poorer states).
- **Population (2011 Census):** 15.0%.
- **Area:** 15.0%.

- **Forest & Ecology:** 10.0%.
- **Demographic Performance:** 12.5% (incentivizing states that controlled Total Fertility Rate).
- **Tax & Fiscal Efforts:** 2.5%.

Master Chronology of All 16 Finance Commissions (1st to 16th)

The Finance Commission has been constituted 16 times under **Article 280** of the Constitution. Standard UPPCS, RO/ARO, and UPSC Prelims questions routinely test the **Chairmen of historical Finance Commissions**, chronological sequences, matching pairs, and landmark recommendations.

FC	Year of Constitution	Chairman	Operational (Award) Period	Key Recommendations & Milestone Facts
1st	**1951**	**K.C. Neogy**	**1952–57**	**First Finance Commission of India.** Set initial criteria for sharing income tax (55%) and union excise duties (40% of 3 specific commodities: tobacco, matches, vegetable products).
2nd	**1956**	**K. Santhanam**	**1957–62**	Increased income tax devolution to 60%; expanded divisible union excise to 8 commodities. Recommended grants-in-aid under Article 275.
3rd	**1960**	**A.K. Chanda**	**1962–66**	Recommended income tax share of 66.6%; extended excise sharing to all commodities generating over ₹50 lakh revenue.
4th	**1964**	**Dr. P.V. Rajamannar**	**1966–69**	Raised income tax share to 75%; extended excise sharing to all union excise duties.
5th	**1968**	**Mahaveer Tyagi**	**1969–74**	Maintained 75% income tax share; introduced interim report mechanism.
6th	**1972**	**K. Brahmananda Reddy**	**1974–79**	Raised income tax share to 80%; introduced non-Plan capital gap assistance to indebted States.
7th	**1977**	**J.M. Shelat**	**1979–84**	Doubled States' share of union excise duties from 20% to **40%**; income tax share raised to 85%.
8th	**1982**	**Y.B. Chavan**	**1984–89**	Introduced 5% reservation in excise for deficit States (40% general + 5% deficit states = 45%).
9th	**1987**	**N.K.P. Salve**	**1989–95**	Adopted normative approach to revenue and expenditure projections; submitted two separate reports (1989–90 and 1990–95).
10th	**1992**	**K.C. Pant**	**1995–2000**	**Alternative Devolution Scheme:** Recommended that **29% of gross central taxes** (rather than individual specified taxes) be pooled and shared with States. Led to landmark **80th Constitutional Amendment Act, 2000** (amending Art. 270).

FC	Year of Constitution	Chairman	Operational (Award) Period	Key Recommendations & Milestone Facts
11th	**1998**	**Prof. A.M. Khusro**	**2000–05**	Recommended **29.5%** devolution (28% general + 1.5% for non-sharing taxes); first commission mandated under Articles 243-I & 243-Y to recommend local body grants (Panchayats and Municipalities).
12th	**2002**	**Dr. C. Rangarajan**	**2005–10**	Raised devolution to **30.5%**; recommended landmark **Debt Consolidation and Relief Facility (DCRF)** linked to States enacting their own Fiscal Responsibility and Budget Management (FRBM) Acts.
13th	**2007**	**Dr. Vijay Kelkar**	**2010–15**	Increased devolution to **32.0%**; introduced ₹50,000 crore grand incentive for GST rollout; incorporated **Forest Cover** (7.5%) as a horizontal green devolution metric.
14th	**2013**	**Dr. Y.V. Reddy**	**2015–20**	**Record jump in vertical devolution from 32% to 42%** of divisible pool. Abolished distinction between Plan and Non-Plan grants, providing massive untied fiscal transfers to States.
15th	**2017**	**N.K. Singh**	**2020–26**	Devolution set at **41%** (adjusted 1% downward from 42% to fund the newly formed Union Territories of **J&K and Ladakh**). Shifted population metric to **2011 Census** (15%), balanced by a 12.5% **Demographic Performance** criterion. Two reports: interim (2020–21) and final (2021–26).
16th	**2023**	**Dr. Arvind Panagariya**	**2026–31**	**Constituted on 31 December 2023** under Article 280. Chaired by Dr. Arvind Panagariya (former Vice-Chairman of NITI Aayog; Columbia University Professor). Secretary: **Ritvik Ranjanam Pandey**. Mandate: Devolution, grants-in-aid, disaster management financing, and local body augmentation. Report submission deadline: **31 October 2025** for award period starting **1 April 2026**.

High-Yield Prelims Memory Anchor: - **First 4 Chairmen:** 1st **K.C. Neogy** → 2nd **K. Santhanam** → 3rd **A.K. Chanda** → 4th **Dr. P.V. Rajamannar** *(Mnemonic: Neogy Santhanam Chanda Rajamannar = N-S-C-R)*. - **Middle Chairmen (5th to 10th):** 5th **Mahaveer Tyagi** → 6th **K. Brahmananda Reddy** → 7th **J.M. Shelat** → 8th **Y.B. Chavan** → 9th **N.K.P. Salve** → 10th **K.C. Pant**. - **Recent Successive Chairmen (11th to 16th):** 11th **A.M. Khusro** → 12th **C. Rangarajan** → 13th **Vijay Kelkar** → 14th **Y.V. Reddy** → 15th **N.K. Singh** → 16th **Arvind Panagariya**. - **Key Vertical Devolution Progression:** 10th (**29%**) → 11th (**29.5%**) → 12th (**30.5%**) → 13th (**32%**) → 14th (**42%**) → 15th (**41%**).

Constitutional Distribution of Tax Revenues (Part XII: Articles 268 to 281)

The division of financial resources between the Centre and States is articulated in Chapter I of Part XII of the Constitution:

1. **Article 268 (Duties Levied by the Union but Collected and Appropriated by the States):** - Covers stamp duties on bills of exchange, cheques, promissory notes, bills of lading, letters of credit, policies of insurance, transfer of shares, and excise on medicinal and toilet preparations containing alcohol. - The Central Government fixes the statutory rates, but the revenues are collected within each State and retained exclusively by that State (do not form part of the Consolidated Fund of India).
2. **Article 269 (Taxes Levied and Collected by the Union but Assigned to the States):** - Taxes on the sale or purchase of goods and taxes on the consignment of goods in the course of inter-State trade or commerce. - The Union levies and collects these levies, but the entire net proceeds are handed over to the States in accordance with principles formulated by Parliament.
3. **Article 269A (Levy and Collection of GST in Course of Inter-State Trade or Commerce):** - Inserted by the **101st Constitutional Amendment Act, 2016**. - **Integrated GST (IGST)** is levied and collected by the Government of India on inter-State supply of goods and services (including imports). - The tax is apportioned between the Union and the States based on recommendations of the **GST Council**.
4. **Article 270 (Taxes Levied and Distributed between the Union and the States):** - Defines the **Divisible Pool of Central Taxes**. - Encompasses all taxes and duties referred to in the Union List (Corporation Tax, Personal Income Tax, CGST, Customs, etc.) **EXCEPT**:
    - Duties and taxes referred to in Articles 268, 269, and 269A.
    - Surcharges levied under Article 271.
    - Any cess levied for specific purposes under any law made by Parliament.
    - *(Note: Prior to the 80th Constitutional Amendment Act, 2000, only Income Tax and Union Excise Duties were shared. The 80th Amendment, enacting the 10th Finance Commission's alternative devolution scheme, brought all Central taxes into the shareable divisible pool).*
5. **Article 271 (Surcharge on Certain Duties and Taxes for Purposes of the Union):** - Parliament may at any time increase any of the duties or taxes mentioned in Article 269 and 270 by a **surcharge**. - The entire proceeds of any such surcharge form part of the Consolidated Fund of India and are **retained exclusively by the Union** (not shareable with States).
6. **Article 275 (Statutory Grants-in-Aid from the Union to Certain States):** - Parliament may by law provide financial assistance to States in need of funds. - Distinct from discretionary grants under Article 282; Article 275 grants are statutory transfers recommended by the **Finance Commission** out of the Consolidated Fund of India. - Also provides specific capital and recurring grants for the welfare of Scheduled Tribes and raising administration levels of Scheduled Areas.
7. **Article 279A:** Constitutional establishment of the **Goods and Services Tax Council**.
8. **Article 280:** Mandate, composition, and functions of the **Finance Commission**.
9. **Article 281:** Obligation of the President to cause the Finance Commission recommendations, together with an explanatory **Action Taken Memorandum (ATM)**, to be laid before each House of Parliament.

Q-EC9. UPPCS (Pre) 2021

The primary duty of the Finance Commission of India is

A. To give the recommendations on distribution of tax revenue between the Union and States
B. To prepare the Union Annual Budget
C. To advise the President on financial matters
D. To allocate funds to various Ministries/ Departments of the Union and State Governments

Show answer

Explanation: - Under Article 280(3)(a), the primary constitutional duty of the Finance Commission is to make recommendations to the President regarding the distribution between the Union and the States of the net proceeds of divisible taxes, and the allocation among the States of their respective shares. Budget preparation and departmental allocations are functions of the Ministry of Finance. **Ans: A.** To give the recommendations on distribution of tax revenue between the Union and States.

Q-EC10. UPPCS (Pre) 2021

Who among the following was the Chairman of the First Finance Commission of India?

A. Shri. Santhanam
B. Shri. K. C. Neogy
C. Dr. Raj Mannar
D. Shri. A. K. Chanda

Show answer

Explanation: - The First Finance Commission was appointed in 1951 under the chairmanship of **K.C. Neogy** (covering the award period 1952–57). K. Santhanam chaired the 2nd FC, A.K. Chanda the 3rd, and Dr. P.V. Rajamannar the 4th. **Ans: B.** Shri. K. C. Neogy.

Q-EC11. UPPCS (Pre) 2021

Given below are two statements one is labelled as Assertion (A) and other as Reason (R):

Assertion (A): The President of India determines the qualifications of the Chairman and Members of the Finance Commission.

Reason (R): Chairman and members are appointed by the President of India.

Select the correct answer from the codes given below:

A. Both (A) and (R) are true and (R) is the correct explanation of (A).
B. Both (A) and (R) are true, but (R) is not the correct explanation of (A).
C. (A) is true, but (R) is false.
D. (A) is false, but (R) is true.

Show answer

Explanation: - **Assertion (A) is false:** Under Article 280(2) of the Constitution, **Parliament may by law determine the qualifications** of the Chairman and members of the Finance Commission. Parliament enacted the *Finance Commission (Miscellaneous Provisions) Act, 1951* for this purpose; the President does not prescribe qualifications. - **Reason (R) is true:** Under Article 280(1), the Chairman and members are appointed by the President of India. **Ans: D.** (A) is false, but (R) is true.

Q-EC12. UPPCS (Pre) 2023

With reference to the Union Finance Commission, which of the following statement(s) is/are correct?

1. Finance Commission has a Chairman and six members.
2. It submits its report to the NITI Aayog.

Select the correct answer using the code given below:

A. Only 2
B. Both 1 and 2
C. Only 1
D. Neither 1 nor 2

Show answer

Explanation: - **Statement 1 is incorrect:** Under Article 280(1), the Finance Commission consists of a Chairman and **four other members** (total five persons). - **Statement 2 is incorrect:** Under Article 280(3) and Article 281, the Finance Commission submits its report to the **President of India**, who causes it to be laid before each House of Parliament, not to NITI Aayog. **Ans: D.** Neither 1 nor 2.

Q-EC13. UKPCS (Pre) 2016

According to the 14th Finance Commission, the percentage share of States in the net proceeds of the shareable Central tax revenue should be

A. 32 percent
B. 35 percent
C. 40 percent
D. 42 percent

Show answer

Explanation: - The 14th Finance Commission chaired by Dr. Y.V. Reddy recommended a record increase in vertical devolution from 32% to **42%** of the net divisible pool of Central taxes. (The 15th FC adjusted this to 41% after the reorganization of Jammu & Kashmir). **Ans: D.** 42 percent.

Q-EC14. UPPCS (Pre) 2025

Match List-I with List-II and select the correct answer using the code given below the lists.

List-I (Finance Commission)	List-II (Chairman)
A. Eleventh Finance Commission	1. Dr. C. Rangarajan
B. Twelfth Finance Commission	2. A.M. Khusro
C. Thirteenth Finance Commission	3. Dr. Y.V. Reddy
D. Fourteenth Finance Commission	4. Dr. Vijay Kelkar

Select the correct answer from the codes given below:

A. A-2, B-1, C-4, D-3
B. A-1, B-2, C-3, D-4
C. A-2, B-4, C-1, D-3
D. A-3, B-1, C-4, D-2

Show answer

Explanation: - 11th Finance Commission = A.M. Khusro (A-2) - 12th Finance Commission = Dr. C. Rangarajan (B-1) - 13th Finance Commission = Dr. Vijay Kelkar (C-4) - 14th Finance Commission = Dr. Y.V. Reddy (D-3) - Correct matching: A-2, B-1, C-4, D-3. **Ans: A.** A-2, B-1, C-4, D-3.